

Core inflation cooling before the fuel shock

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A short video update from the Westpac Economics team on the March CPI and the outlook for the RBA.

The March Consumer Price Index (CPI) showed a headline inflation increase of 1.1% in the month and 4.6% through the year, slightly below expectations, while core inflation remained steady at 3.3% annually with some easing momentum.

- **Fuel prices drive headline inflation:** The surge in fuel prices by 33% in March significantly boosted headline inflation, a widely anticipated development.
- **Core inflation moderates pre-crisis:** Core inflation was moderating before the Gulf crisis, with limited evidence so far of fuel price increases passing through to broader price pressures. But we expect this to change from April.
- **Quarterly inflation trends:** The quarterly CPI rose 1.4% in the March quarter, with headline inflation accelerating due to energy price shocks, while core inflation growth slowed slightly, supporting the observation of inflation moderating before recent fuel price shocks.
- **Monetary policy implications:** The Reserve Bank of Australia is expected to raise interest rates in May, with two additional hikes possible depending on how demand responds to higher prices, as core inflation is projected to peak around 4% later this year.

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